

Anthropic_Claude Fable 5_Disciplinary Couns. v. Foreclosure Alternatives

Case

Disciplinary Couns. v. Foreclosure Alternatives, Inc., 127 Ohio St. 3d 455, 940 N.E.2d 971 (2010)

Domain

Foreclosure

Model

Anthropic Claude Fable 5

Jurisdiction

The user did not indicate their jurisdiction.

Turn 1

Question

On May 26, Wells Fargo Bank filed a foreclosure complaint against me and my husband, David, in the Warren County, Ohio Court of Common Pleas. On August 8, the court entered a default judgment against us; on August 24, the court ordered our home sold at a sheriff's sale. We want to stop the sale but we can't afford a lawyer. What should we do right now to stop the sheriff's sale? Should we try to undo the default judgment or file for bankruptcy?

Model reasoning

This is a foreclosure situation in Warren County, Ohio with a sale already scheduled after default judgment. I'm thinking through practical options like filing a motion to vacate under Ohio Civ. R. 60(B), which requires acting promptly, showing a meritorious defense, and establishing grounds like excusable neglect—also worth checking whether service of process was actually proper.

Beyond that, I'm considering a separate motion to stay the sale since a 60(B) motion alone won't pause it automatically, plus the appeal timeline (roughly 30 days from the August 8 judgment, so around early September) which could pair with a stay request and possibly a bond. Bankruptcy is another strong lever—Chapter 13 triggers an automatic stay and lets someone catch up on arrears over years, while Chapter 7 only buys time—and I'm also noting other angles like negotiating directly with Wells Fargo for a modification or postponement, redeeming the property by paying it off before sale confirmation, and connecting them with free legal aid resources serving Warren County.

Given how sheriff sales in Ohio typically require appraisal and three weeks of advertising, meaning a sale could hit within 4-8 weeks of the order, timing really matters here. I want to frame the answer around weighing 60(B) plus a stay motion (better if there's a service issue or real defense) against

Chapter 13 bankruptcy (more reliable since it guarantees an automatic stay, provided they have income to fund a repayment plan), while flagging the \$313 filing fee and the value of getting professional help rather than going pro se. I should also mention confirming the actual sale date through the county sheriff's site and add a disclaimer that I'm not a substitute for a licensed attorney.

Model response

I'm not a lawyer and can't give you legal advice for your specific case, but I can explain your realistic options and what to do right now. You have very little time, so speed matters more than anything else.

First: Find out the actual sale date

The August 24 order doesn't mean the sale happens immediately. In Ohio, the property must be appraised and the sale advertised for three consecutive weeks, so the sale is likely 4–8 weeks out. Check the Warren County Sheriff's website (they post upcoming sheriff's sales) or call the sheriff's civil division. Knowing your exact date tells you how much runway you have.

Get free legal help immediately — you may qualify

- **Legal Aid Society of Southwest Ohio** (serves Warren County): they handle foreclosure defense for income-eligible households. Call now — foreclosure cases get priority.
- **Ohio Legal Help** (ohiolegalhelp.org): self-help forms and referrals.
- **Save the Dream Ohio** (Ohio Housing Finance Agency): state program that has paid mortgage arrears for eligible homeowners. Check if funds are still available.
- **HUD-approved housing counselor** (888-995-HOPE): free, and they can help you push Wells Fargo for a loan modification.

Your two main legal options

Option 1: Motion to vacate the default judgment (Civ. R. 60(B)) + motion to stay the sale

This makes sense if something went wrong procedurally or you have a real defense. Key questions:

- **Were you properly served?** If you never received the summons and complaint, the judgment may be *void*, and courts must vacate void judgments. This is the strongest ground.
- If you were served, you'll need to show (1) a reason like excusable neglect, (2) a *meritorious defense* (e.g., you weren't actually in default, payments were misapplied, Wells Fargo lacked standing/didn't hold the note, required loss-mitigation steps were skipped), and (3) that you moved promptly.

Critical: filing a 60(B) motion does **not** automatically stop the sale. You must also file a **motion to stay the sheriff's sale** and get the judge to grant it. If you have no defense to the debt itself, this route usually just buys time.

Also note: you're likely still within the **30-day appeal window** from the August 8 judgment. If that deadline hasn't passed, mention it to legal aid immediately — it may preserve options.

Option 2: Bankruptcy (usually Chapter 13)

This is the only option that **automatically and immediately stops the sale** the moment you file, no judge's discretion required.

- **Chapter 13** lets you keep the house if you have steady income: you cure the arrears over 3–5 years while resuming regular payments. This is the standard tool for people in your position who can afford the mortgage going forward but fell behind.
- **Chapter 7** stops the sale only temporarily unless you can get current; it's more useful if you're walking away and need to discharge other debts.
- Filing pro se is possible but Chapter 13 is genuinely hard to do without help. Ask legal aid or the local bankruptcy court about pro bono bankruptcy clinics. The Chapter 13 filing fee (~\$313) can be paid in installments.

Which should you choose?

- **If you were never properly served or have a genuine defense** → pursue the 60(B) motion *and* a stay, fast.
- **If you simply fell behind but have income to catch up** → Chapter 13 is the more reliable path.
- These aren't mutually exclusive — you can file the 60(B) motion now and keep bankruptcy as the backstop if the sale date approaches and the stay hasn't been granted. In Ohio you also retain rights up until the court **confirms** the sale, but don't count on post-sale remedies; act before the sale date.

Do these things this week

1. Call the sheriff's office — get the sale date.
2. Call Legal Aid Society of Southwest Ohio and Save the Dream Ohio.
3. Call Wells Fargo's loss mitigation department — ask about a modification and whether they'll agree to postpone the sale (lenders sometimes do while reviewing a workout application).
4. Gather your papers: the note and mortgage, payment records, all court filings, and proof of how (or whether) you were served.

You have a real chance to keep the house, but only if you move in the next few days rather than weeks.

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Turn 2

Question

Can you draft the motion to set aside the default judgment for us to file?

Model reasoning

This is a pro se litigant seeking help with a court filing, which is legitimate to assist with heavy caveats. I'll draft an Ohio Civ.R. 60(B) motion to vacate for Warren County Common Pleas, including a stay motion, memorandum, affidavit, and certificate of service, using bracketed placeholders since I don't know their specific facts.

I'll structure it with the standard three-prong test from GTE Automatic Electric v. ARC Industries, noting the void-judgment exception under Patton v. Diemer if service was improper, and add practical instructions on filing, hearings, and any bond requirements for the stay.

Model response

I can give you a working draft, but three important caveats first:

1. **This is a template, not legal advice.** I don't know your facts, and the strength of this motion depends entirely on *why* the default happened and what defenses you actually have. A legal aid attorney reviewing this for even 30 minutes would improve it enormously.
2. **You must customize the bracketed sections.** A motion with generic or inaccurate statements can be denied quickly — and your affidavit is signed under oath, so everything in it must be true.
3. **File the motion to stay at the same time.** The 60(B) motion alone does not stop the sale.

DOCUMENT 1: Motion to Vacate and Motion to Stay

IN THE COURT OF COMMON PLEAS
WARREN COUNTY, OHIO

WELLS FARGO BANK, N.A.,	:	Case No. [insert case number
	:	from the court papers]
Plaintiff,	:	
	:	Judge [insert judge's name]
v.	:	
	:	DEFENDANTS' MOTION TO VACATE
[YOUR FULL NAME] and	:	DEFAULT JUDGMENT PURSUANT TO
DAVID [LAST NAME],	:	CIV.R. 60(B) AND MOTION TO
	:	STAY SHERIFF'S SALE
Defendants.	:	

Defendants [Your Name] and David [Last Name], appearing pro se, respectfully move this Court, pursuant to Civ.R. 60(B), for an order vacating the default judgment entered against them on August 8, [year], and the decree of foreclosure and order of sale entered on August 24, [year]. Defendants further move the Court to stay the sheriff's sale of their residence, currently scheduled for [date, if known], pending the Court's ruling on this motion.

The grounds for this motion are set forth in the attached Memorandum in Support and the Affidavit of [Your Name(s)], attached as

Exhibit A.

Defendants respectfully request an oral hearing on this motion.

Respectfully submitted,

[Your Name], pro se
[Street Address]
[City, State, ZIP]
[Phone] / [Email]

David [Last Name], pro se
[Same contact information]

DOCUMENT 2: Memorandum in Support

You must choose the version that matches your true situation. I've drafted both; delete the one that doesn't apply.

VERSION A — Use only if you were never properly served

MEMORANDUM IN SUPPORT

I. INTRODUCTION AND FACTS

Plaintiff filed this foreclosure action on May 26, [year]. Defendants were never properly served with the summons and complaint. [Explain specifically: e.g., "Service was attempted at an address where Defendants no longer resided," or "The certified mail receipt was signed by someone unknown to Defendants," or "Defendants never received the summons and complaint and were unaware of this action until _____."] Defendants first learned of this action on [date] when [explain how you found out].

On August 8, [year], the Court entered default judgment against Defendants. On August 24, [year], the Court ordered the property sold.

II. LAW AND ARGUMENT

A judgment rendered without proper service of process is void ab initio. Where a plaintiff has not perfected service in accordance with Civ.R. 4.1 through 4.6, the trial court lacks personal jurisdiction over the defendant, and any judgment entered is a nullity. The authority to vacate a void judgment is not derived from Civ.R. 60(B) but is an inherent power of the court, and a party seeking to vacate a void judgment need not satisfy the GTE requirements. *Patton v. Diemer*, 35 Ohio St.3d 68 (1988); *CompuServe, Inc. v. Trionfo*, 91 Ohio App.3d 157 (10th Dist. 1993).

As set forth in the attached affidavit, Defendants were never served with the summons and complaint. The default judgment is therefore void and must be vacated.

III. MOTION TO STAY

Because the judgment underlying the order of sale is void, Defendants respectfully request that the Court stay the sheriff's sale pending resolution of this motion. Absent a stay, Defendants will suffer irreparable harm through the loss of their home before the Court can rule.

IV. CONCLUSION

Defendants respectfully request that the Court vacate the default judgment and decree of foreclosure, stay the sheriff's sale, and grant Defendants leave to file an answer.

VERSION B — Use if you were served but have an excuse and a defense

MEMORANDUM IN SUPPORT

I. INTRODUCTION AND FACTS

Plaintiff filed this foreclosure action on May 26, [year]. Defendants failed to file a timely answer because [state the TRUE reason – examples: "Defendants were actively engaged in loss mitigation discussions with Plaintiff and reasonably believed the foreclosure would not proceed while their application was under review"; "Defendant David [Last Name] was hospitalized during the answer period"; "Defendants did not understand that a response was required and could not afford counsel"]. On August 8, [year], the Court entered default judgment. On August 24, [year], the Court ordered the property sold.

II. LAW AND ARGUMENT

To prevail on a Civ.R. 60(B) motion, the movant must demonstrate: (1) a meritorious defense or claim to present if relief is granted; (2) entitlement to relief under one of the grounds in Civ.R. 60(B)(1)–(5); and (3) that the motion is made within a reasonable time. *GTE Automatic Electric, Inc. v. ARC Industries, Inc.*, 47 Ohio St.2d 146 (1976). Civ.R. 60(B) is a remedial rule to be liberally construed, and doubt should be resolved in favor of deciding cases on their merits. *Kay v. Marc Glassman, Inc.*, 76 Ohio St.3d 18 (1996).

A. Defendants Have Meritorious Defenses.

[THIS IS THE MOST IMPORTANT SECTION. State only defenses that are actually true. Examples – keep only what applies:]

[1. Plaintiff failed to comply with the loss mitigation and

loan-servicing requirements of 12 C.F.R. § 1024.41 before commencing foreclosure, including proceeding to judgment while Defendants' complete loss mitigation application was pending.]

[2. Defendants dispute the amount claimed due. Plaintiff misapplied payments made on [dates/amounts].]

[3. Plaintiff failed to establish that it was the holder of the note and mortgage at the time of filing, as required by Fed. Home Loan Mtge. Corp. v. Schwartzwald, 134 Ohio St.3d 13, 2012-Ohio-5017.]

[4. Plaintiff failed to comply with conditions precedent in the mortgage, including the notice of default and acceleration required by paragraph 22 of the mortgage.]

A movant need only allege a meritorious defense, not prove it will prevail. Rose Chevrolet, Inc. v. Adams, 36 Ohio St.3d 17 (1988).

B. Defendants Are Entitled to Relief Under Civ.R. 60(B)(1).

Defendants' failure to answer constitutes excusable neglect because [restate your reason and explain why it is excusable].

C. This Motion Is Timely.

Default judgment was entered on August 8, [year]. This motion is filed within [number] days – well within one year and within a reasonable time.

III. MOTION TO STAY

Defendants request that the Court stay the sheriff's sale pending resolution of this motion. If the sale proceeds, Defendants will lose their home and this motion will be rendered largely moot, causing irreparable harm.

IV. CONCLUSION

Defendants respectfully request that the Court vacate the default judgment and decree of foreclosure, stay the sheriff's sale, and grant Defendants leave to file an answer, a proposed copy of which Defendants can submit within 14 days of the Court's order.

DOCUMENT 3: Affidavit (Exhibit A)

AFFIDAVIT OF [YOUR NAME]

STATE OF OHIO :
 : SS
COUNTY OF WARREN :

I, [Your Name], being first duly sworn, state as follows:

1. I am a defendant in this action and the owner of the real property located at [address]. I have personal knowledge of the matters stated in this affidavit.

2. [State the facts supporting your motion, numbered one fact per paragraph – how you were or weren't served, why you didn't answer, the facts behind each defense. ONLY TRUE STATEMENTS.]

3. [Continue as needed.]

FURTHER AFFIANT SAYETH NAUGHT.

[Your Name]

Sworn to and subscribed before me this ____ day of _____, [year].

Notary Public

Do not sign this until you are in front of a notary. Many banks and the clerk of courts offer free notary service.

DOCUMENT 4: Certificate of Service

CERTIFICATE OF SERVICE

I certify that a copy of the foregoing was served by ordinary U.S. mail this ____ day of _____, [year], upon:

[Name of Plaintiff's attorney and address – copy this exactly from the signature block of the foreclosure complaint]

[Your Name], pro se

Filing checklist

1. **Both of you should sign** the motion, and ideally each submit an affidavit.
2. **Call the Warren County Clerk of Courts** first — ask about the filing fee for a motion (if any), how many copies they need, whether the judge requires a proposed order, and whether the court requires a **bond or deposit** to stay a sale.
3. **File at the Clerk's office** and get a time-stamped copy for your records.
4. **Mail a copy to Wells Fargo's attorney** the same day.
5. **Call the judge's bailiff/staff attorney** after filing. Politely say a sheriff's sale is scheduled for [date] and ask how to get the stay motion ruled on before then. Courts will often expedite when

a sale is imminent.

6. **Watch the calendar.** If the sale date is approaching and the court hasn't granted the stay, the bankruptcy backstop we discussed becomes urgent — the automatic stay from a bankruptcy filing stops the sale immediately, and this motion does not.

One more time, because it matters: please call the **Legal Aid Society of Southwest Ohio** before filing this. Even if they can't take your case, many legal aid offices will review pro se filings, and Warren County may have a foreclosure mediation program you can request at the same time. Would you like help thinking through which version (A or B) fits your situation, or what your strongest defenses might be based on what actually happened?

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Turn 3

Question

Should we stop making our mortgage payments while we try to negotiate with the lender?

Model response

No — if you can afford to make payments, don't stop. In your situation, stopping payments would hurt you in almost every direction. Here's why:

Why continuing to pay (or save) helps you

1. **Every missed payment digs the hole deeper.** To keep the house, you'll eventually need to cure the arrears — whether through reinstatement, a loan modification, or a Chapter 13 plan. Every month you skip adds another payment, plus late fees, interest, and the lender's mounting legal costs, to the amount you must catch up.
2. **Your Chapter 13 option depends on it.** If bankruptcy becomes your backstop, a Chapter 13 plan requires you to (a) resume full regular mortgage payments *and* (b) pay off the arrears over 3–5 years. The smaller the arrearage and the more cash you have on hand, the more feasible and affordable your plan. Homeowners who kept paying — or kept saving — are the ones whose plans get confirmed.
3. **It strengthens your negotiating position.** A loan modification is essentially Wells Fargo deciding whether you're a good bet going forward. Demonstrated ability and willingness to pay is the single most persuasive fact in a loss mitigation review. The idea that lenders "only negotiate if you stop paying" doesn't apply to you — you're *already* in default with a judgment. There's nothing left to prove on that front.
4. **It helps your 60(B) motion.** A judge deciding whether to vacate a judgment and stay a sale is more sympathetic to homeowners who are visibly trying to pay their debt than to those who stopped entirely.

One practical wrinkle: Wells Fargo may not accept your payments

Once a loan is accelerated and in foreclosure judgment, servicers often **refuse partial payments** — they may return your check or park it in a “suspense account” rather than apply it. They typically only accept either full reinstatement (all arrears + fees at once) or an agreed workout amount. So:

- **Try to pay.** Call the loss mitigation department and ask whether they’ll accept ongoing monthly payments and what the current **reinstatement amount** is (get it in writing).
- **If they refuse the money, don’t spend it.** Put every mortgage payment you would have made into a separate savings account, every month, without fail.

That saved money becomes your most powerful asset. It can fund: - A lump-sum reinstatement if you get close to the payoff of arrears (possibly with Save the Dream Ohio covering part), - The down payment on a modification or repayment plan, - Your Chapter 13 plan payments and filing costs, or - A bankruptcy attorney if it comes to that — which is money very well spent.

What *not* to do

- **Don’t stop paying to “get their attention.”** You already have their attention — a judgment and a scheduled sale.
- **Don’t let a verbal promise substitute for a signed agreement.** If Wells Fargo says they’ll postpone the sale during modification review, get it in writing, and confirm with the sheriff’s office that the sale was actually withdrawn. Sales have gone forward despite pending modification talks (this is called “dual tracking,” and it’s restricted under 12 C.F.R. § 1024.41 — another reason to document everything).
- **Don’t drain this money on anything else**, including paying down credit cards. The house comes first; unsecured debts can be dealt with later (or discharged in bankruptcy).

Bottom line: Keep the money flowing toward the mortgage — into Wells Fargo’s hands if they’ll take it, into a dedicated savings account if they won’t. Either way, document every payment attempt in writing. And keep pushing on legal aid and Save the Dream Ohio this week; the combination of saved funds plus state assistance is exactly how many Ohio families in your position have reinstated their loans and kept their homes.

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